ACME COMMERCE

Revenue Recognition Policy

Version: 1.2

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1. Revenue Recognition

Revenue is recognized when an order has been fulfilled.

A fulfilled order is an order for which the customer has received the purchased product or service.

Cancelled orders that have not been fulfilled do not generate recognized revenue.

2. Refunds

Refunds are amounts returned to customers after a completed transaction.

Refunds processed before settlement are excluded from recognized revenue.

Refunds processed after settlement are recorded separately and do not change the original fulfillment event.

3. Chargebacks

A chargeback is a disputed card transaction initiated by a customer through their payment provider.

Chargebacks are treated as a financial loss associated with the original transaction.

Chargebacks are tracked separately from recognized revenue.

4. Revenue Metrics

Gross Revenue represents the value of fulfilled orders before refund adjustments.

Net Revenue represents Gross Revenue less applicable refunds and chargeback losses used for management reporting.

Realized Revenue represents recognized revenue after applicable refund adjustments.

5. Reporting Rules

Revenue reporting uses fulfilled orders as the recognition event.

Refunds and chargebacks must be distinguished because they have different accounting and reporting implications.